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BUSINESS • EARNINGS

Eli Lilly Revenue Helped by Sales of New Drugs

Pharmaceutical maker in the midst of several product launches

By Anne Steele

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Eli Lilly & Co. saw sales strength during the second quarter for newer drugs such as Trulicity as well as established products such as Cialis. KRIS TRIPPLAAR/SIPA USA

Eli Lilly & Co. reported Tuesday that revenue rose more than expected in the most recent quarter, as sales of new drugs padded increases in established products.

“Lilly is in the midst of one of the most productive periods of new product launches in our company’s history, with new medicines making a substantial contribution to our revenue growth for the first half of the year,” Chief Executive John Lechleiter said.

Recently released drugs, including diabetes treatment Trulicity and cancer drug Cyramza, helped push 10% volume growth in the quarter.

Meanwhile, sales of Humalog, Lilly's biggest product by revenue, rose 7% to \$701.9 million. Revenue for the fast-acting form of insulin in the U.S. advanced 5% on higher demand despite lower realized prices. Sales abroad increased 11% on higher volume, partially dented by unfavorable foreign exchange rates.

Blockbuster erectile-dysfunction drug Cialis sales shot up 11% to \$630.5 million. U.S. revenue jumped 24% on higher pricing, while revenue outside the U.S. fell 4% on currency challenges and lower volume.

Sales in its animal-health division, which Lilly bought from Novartis AG for about \$5.4 billion in 2014, rose 2.3% to \$859.8 million.

In all for the June quarter, Lilly reported a profit of \$747.7 million, or 71 cents a share, up from \$600.8 million a share, or 56 cents, a year prior. Excluding charges related to the Venezuelan financial crisis and other items, earnings per share fell to 86 cents from 90 cents.

Revenue grew 8.6% to \$5.4 billion, driven by an 8% rise in volume as realized prices and the impact of foreign exchange rates—which recently had chipped away at the top line, as Lilly does significant business abroad—remained relatively flat from a year ago.

Analysts projected 86 cents in adjusted per-share profit on \$5.15 billion in sales.

Gross margin fell 2.6 percentage points to 72.9%, mostly owing to a lower benefit from foreign exchange rates.

Lilly backed its earnings guidance for the year, which it had cut down in the previous quarter, citing the Venezuelan financial crisis. The company expects annual earnings per share of \$2.68 to \$2.78. Revenue is still anticipated to come in at \$20.6 billion to \$21.1 billion.

Shares, inactive premarket, have risen 7.5% over the past three months.

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